



565/1

BUSINESS STUDIES PAPER 1
MARKING SCHEME

1. *characteristics of money*

- (a). Acceptable
- (b). Portable
- (c). Divisible
- (d). Durable
- (e). Generally stable
- (f). Homogenous / Uniformity
- (g). Scarce / limited in supply
- (h). Easy to recognize
- (i). Malleability.

2. *External factors that may adversely affect efficient operations of a business.*

- (a). Political instability
- (b). Corruption in the country
- (c). Lengthy licensing procedures
- (d). Insecurity in the country
- (e). High cost of finances
- (f). High taxation rates
- (g). Inadequate factor inputs
- (h). Poor weather conditions / climate for agro- based businesses
- (i). Unstable exchange rate

3. *Circumstances for photocopying*

- (a). When only a few copies are required
- (b). When a method faster than duplicating is required
- (c). When business wishes to use existing workers hence no needs for re- training.
- (d). When the business does not need coloured copies.

4. *Ways through which an efficient transport system may promote trade,*

- (a). Easy transportation of goods to the market
- (b). Buyers and sales will connect from market to market easily
- (c). Interior markets would be opened up for trade
- (d). Quick / fast delivery hence less time wastage
- (e). Lower transportation costs
- (f). Stable commodity prices due to low transport costs.



5. Benefits of buying directly from a Manufacturer

- (a). Buys goods of high quality
- (b). Can obtain goods of desired quantities
- (c). Enjoys discounts hence cheap products
- (d). Avoids delays during delivery
- (e). May obtain goods on credit
- (f). May obtain goods of his specification.

6. Four benefits of advertising products through the website

- (a). Reaches a very wide / global market
- (b). Relatively cheap method
- (c). Has unusual appeal
- (d). Reduces paper work

7. Outline four features of co- operatives

- (a). No member can contribute more than 5% of the capital
- (b). Minimum of 10 members who are above 18 years
- (c). Members enjoy limited liability
- (d). Established to provide services to members
- (e). Guided by laws
- (f). Membership is open and voluntary.

8. Give four reasons why most Kenyans do not operate bank accounts

- (a). Most have low income levels
- (b). Most have unstable incomes
- (c). Bank facilities are not close to the people
- (d). Most are ignorant of the available banking services
- (e). Bank requirements to open and operate accounts are unaffordable to most Kenyans
- (f). Instability in the banking sector due to political influences and unstable bank rates discourage most people from keeping money in banks.

9. Four advantages of indirect taxes.

- (a). Can be avoided by consuming non- taxable products
- (b). Has wide net / diversified
- (c). May discourage consumption harmful products by taxing them highly
- (d). Economical because it is collected at source.

Effects of transaction on

10.

	Assets	Liabilities	Capital
a)	Increase	Increase	No effect
b)	Decrease	Decrease	No effects
c)	Increase	No effects	Increase
d)	decrease	No effects	decrease



11. Contributions of the households to the national income of a country

- (a). Providing ready market for commodities produced
- (b). Paying taxes to government
- (c). Providing labour to the firms
- (d). Providing savings & investments in the economy
- (e). Offering capital to the firms to facilitate production
- (f). Providing land to firms
- (g). Providing entrepreneurship / management to the firms.

12. Salient features of a monopolistic market

- (a). Market has many sellers
- (b). Products sold are differentiated / Heterogeneous
- (c). Action of one firm affects the entire industry
- (d). Firms engage in price wars.

13. (a). Invoice

- (b). Receipt
- (c). Debit note
- (d). Credit note

14. Obstacles that may hinder the achievement of vision 2030

- (a). Corruption
- (b). Shortage of qualified personnel
- (c). Transfer of inappropriate plans from the developed world.
- (d). Over – reliance on donors for funding
- (e). Non – involvement of local stakeholders in implementation
- (f). Negative effects of inflation
- (g). Lack of political will to fully implement the plan.

15. Benefits of entrepreneurship to the Kenya gov't

- (a). Revenue in terms of taxes
- (b). Employment opportunities to its citizens
- (c). Provision of goods and services to gov't and its citizens
- (d). Foreign exchange earnings from exports
- (e). Growth of capital / investment / economy
- (f). Lending / loan to government.

16.

Condo Traders

Trading A/C For Period Ended 31.Dec 2008✓

opening stock	2,500✓	Sales	56,400✓
add purchase	<u>46,000✓</u>		
G.A.S.F S	48,500		
less closing stock	<u>1,500✓</u>		
C.O G.S	47,000✓		
Gross Profit c/d	<u>9,400✓</u>		
	<u>56,400✓</u>		<u>56,400</u>



17. Rewards to land as a factor of production

- (a). Rates
- (b). Royalties
- (c). Leases
- (d). Rent

18. Characteristics of bonded Warehouse

- (a). Goods only released on production of a release warrant
- (b). Under the control of government's customs officials
- (c). Goods are bonded until customs duty is paid
- (d). Storage charges are charged on goods in the warehouse
- (e). Goods may be sold while under bond
- (f). Goods may be re-exported while in the bonded warehouse
- (g). Goods may be prepared for sale while in the bonded warehouse

19. $\text{CPI 2001} = 538 / 474 \times 100 = 113.5\% \checkmark 1$

$\text{CPI 2002} = 625 / 474 \times 100 = 131.9\% \checkmark 1$

$\text{CPI 2003} = 741 / 474 \times 100 = 156.3\% \checkmark 1$

$\text{CPI 2004} = 866 / 474 \times 100 = 182.7\% \checkmark 1$

20. Other Methods of determining Prices

- (a). Auction / bidding
- (b). Price fixing by suppliers with no close competition e.g. KPLC
- (c). Through government policy e.g. taxation or subsidies
- (d). Bargaining / haggling
- (e). Price discrimination
- (f). Retail price maintenance
- (g). Through price leadership such as in oligopolies
- (h). Tenders.

21.

GENERAL JOURNAL

Date	Details	F	Dr	Cr
31/12/2009	Land A/C		430,000	
	Motor vehicle A/C		641,000	
	Stock A/C		82,000	
	Bank A/C		54,000	
	Loan A/C			900,000
	Accrued expenses A/C			79,000
	Creditors			120,000
	Capital A/C			347,000
	Being record of closing balances			

22. Matching statements with terms

- (a). Premium
- (b). Over – insurance
- (c). Policy
- (e). Co- insurance



23. Reason why volume of exports from less developed countries to the developed countries tend to be low

- (a). Use of out dated technology in production
- (b). Inadequate capital to exploit available resources /low out put.
- (c). Poor entrepreneurial culture leading to low production
- (d). Poor governance / corruption instability
- (e). Unfavorable government policy/ lack of support or local infant industries
- (f). Unfair trading practices among developed trading partners
- (g). Over – dependence on agriculture / unprocessed raw materials / exports.

24. Non – monetary measures for motivation employees

- (a). Appreciation – recognition for any goods work
- (b). Fringe benefits – e.g free medical scheme housing pension
- (c). Good working conditions / conducive working condition
- (d). Guaranteed job security / ensuring job security
- (e). Offering opportunities for staff development e.g through training / education
- (f). Providing opportunities job advancements through promotion
- (g), involving staff in decision – making so as to feel part of management

25.

WESTGATE LIMITED
BALANCE SHEET
 AS AT 31ST DECEMBER ,2013

Fixed Assets			Capital	50,000
Buildings	32,000			
Machinery	10,000		L- F liabilities	
Furniture	8,000	40,000	2- year loan	30,000
Current Assets			Current Liabilities	
Stock	20,000		Unpaid salaries	15,000
Bank	25,000		Overdraft	5,000
cash	15,000	<u>50,000</u>	Creditors	10,000
		<u>110,000</u>		<u>30,000</u>
				<u>110,000</u>